

Y will constitute a decline of approximately \$341.91, plus or minus a few dollars.

It is remarkable that now both the Fibonacci ratio and its inverse may be setting up to project the same target area. Recall the first quotation above from February 1982, and note that the ultimate drop from the high in September 1980, which was \$720.50, will be **1.618** times as long as wave (A) of W at **\$112.13**. Now we observe that if wave Y is **.618** times as long as wave W, the projected low is not far from the same level. As a reference, consider that if wave (E) were to peak at \$455 basis London fix, in the middle of its ideal target range of \$450-\$461, then wave Y will bottom at **\$113.09**, the same target generated by the larger multiple. These relationships are shown in the middle and on the right hand side of Figure 17-9. If wave (E) were to climb all the way to its maximum potential at \$502, wave Y would bottom at \$160. We will fill in the actual forecasted low by this method after wave (E) peaks, then state a final target range between it and \$112.

Fibonacci Multiples of Turning Point Values

As illustrated in Figure 17-10, the main turning point *prices* in gold's bear market have been related by Fibonacci fractions. \$511.50 is $\frac{2}{3}$ of \$850, \$296.75 is $\frac{3}{4}$ of \$474 and $\frac{3}{8}$ of \$850, and \$284.25 is $\frac{3}{4}$ of \$720.50.

With these relationships in mind, observe that the prices at the lows for waves (A) and (C) of W are precisely related by Fibonacci ratios to the ideal downside target calculated by waves lengths. Here are the calculations: $\$474 \times .236 = \111.86 , and $\$296.75 \times .382 = \113.36 . How much closer to \$112-113 could they be? (Using applicable fractions provides a few dollars' leeway, as $\$296.75 \times \frac{2}{3}$ and $\frac{1}{3}$ are \$118.70 and \$98.92.)

Raising the Fibonacci ratios by one level produces the following prices: $\$474 \times .382 = \181.07 , and $\$296.75 \times .618 = \183.39 . (Using applicable fractions provides a few dollars' leeway, as $\$474 \times \frac{2}{3}$ and $\frac{1}{3}$ are \$189.60 and \$158, while $\$296.75 \times \frac{2}{3}$ and $\frac{1}{3}$ are \$178.05 and \$197.83.)

Notice that while the first set of figures is very close to the \$103.05 level that marked the *end* of wave IV in 1976, the second set is very close to the \$179.50 level that marked the *start* of wave IV in 1974. These, of course, are the long-standing (as revealed by the quotes at the start of this section) boundaries of the downside target zone based upon the pattern of the 1967-1980 bull market.